

## LECTURE 6

PROPERTIES OF  $\bar{R}^2$ , MODEL MISSPECIFICATION, TEST OF STRUCTURAL CHANGE, DUMMY VARIABLES, FORECASTSProperties of  $\bar{R}^2$ 

In this section, we will show that, when adding new regressors,  $\bar{R}^2$  will rise/fall if the  $F$ -statistic associated with the added regressors is greater/less than 1, regardless of the number of the regressors added. Consider the unrestricted  $(k + q)$  regression model and restricted model with only  $k$  regressors:

$$\begin{aligned} \text{Unrestricted:} \quad Y_i &= \beta_1 X_{i1} + \dots + \beta_k X_{ik} + \beta_{k+1} X_{i,k+1} + \dots + \beta_{k+q} X_{i,k+q} + U_i, \\ \text{Restricted:} \quad Y_i &= \beta_1 X_{i1} + \dots + \beta_k X_{ik} + U_i. \end{aligned}$$

where  $q \geq 1$ . Let  $RSS$  and  $RSS_r$  denote unrestricted and restricted Residual Sum-of-Squares, respectively. The corresponding adjusted coefficients of determination are given by

$$\begin{aligned} \bar{R}^2 &= 1 - \frac{n-1}{n-k-q} \frac{RSS}{TSS}, \\ \bar{R}_r^2 &= 1 - \frac{n-1}{n-k} \frac{RSS_r}{TSS}. \end{aligned}$$

Next,

$$\begin{aligned} \bar{R}^2 - \bar{R}_r^2 &= \frac{n-1}{n-k} \frac{RSS_r}{TSS} - \frac{n-1}{n-k-q} \frac{RSS}{TSS} \\ &= \frac{n-1}{TSS} \left( \frac{RSS_r}{n-k} - \frac{RSS}{n-k-q} \right) \\ &= \frac{n-1}{TSS} \frac{RSS}{n-k} \left( \frac{RSS_r}{RSS} - \frac{n-k}{n-k-q} \right) \\ &= \frac{n-1}{TSS} \frac{RSS}{n-k} \left( \frac{RSS_r}{RSS} - 1 + 1 - \frac{n-k}{n-k-q} \right) \\ &= \frac{n-1}{TSS} \frac{RSS}{n-k} \left( \frac{RSS_r - RSS}{RSS} - \frac{q}{n-k-q} \right) \\ &= \frac{n-1}{TSS} \frac{RSS}{n-k} \frac{q}{n-k-q} \left( \frac{(RSS_r - RSS)/q}{RSS/(n-k-q)} - 1 \right). \end{aligned}$$

The desired result follows because

$$\frac{(RSS_r - RSS)/q}{RSS/(n-k-q)}$$

is the  $F$ -statistic associated with the null

$$H_0 : \beta_{k+1} = \dots = \beta_{k+q} = 0.$$

For comparison, the critical values of the  $F$ -distribution exceed 1. Consequently, model selection based on the adjusted coefficient of determination can lead to inclusion of irrelevant regressors.

## Model misspecification

## Exclusion of relevant regressors

Suppose that the true model is given by

$$Y = X_1 \beta_1 + X_2 \beta_2 + U, \tag{1}$$

where  $X_1$  is  $n \times k_1$ ,  $X_2$  is  $n \times k_2$ ,  $\beta_2 \neq 0$ , and the Assumptions (A1)-(A5) are satisfied with  $X = \begin{pmatrix} X_1 & X_2 \end{pmatrix}$ . Suppose that the econometrician runs a regression of  $Y$  on  $X_1$  alone, either because  $X_2$  is unavailable, or because the econometrician does not know that it should be included.

First, we study properties of the LS estimator of  $\beta_1$ :

$$\begin{aligned}\tilde{\beta}_1 &= (X_1^\top X_1)^{-1} X_1^\top Y \\ &= (X_1^\top X_1)^{-1} X_1^\top (X_1 \beta_1 + X_2 \beta_2 + U) \\ &= \beta_1 + (X_1^\top X_1)^{-1} X_1^\top X_2 \beta_2 + (X_1^\top X_1)^{-1} X_1^\top U.\end{aligned}$$

By Assumption (A2),

$$\mathbb{E}[\tilde{\beta}_1 | X] = \beta_1 + (X_1^\top X_1)^{-1} X_1^\top X_2 \beta_2. \quad (2)$$

In this case, the LS estimator of  $\beta_1$  is *biased*, with the bias given by  $(X_1^\top X_1)^{-1} X_1^\top X_2 \beta_2$ . The bias term disappears if  $X_1$  and  $X_2$  are orthogonal with probability 1, i.e.,

$$\Pr(X_1^\top X_2 = 0) = 1.$$

Next, consider the conditional variance of  $\tilde{\beta}_1$ . Due to (2) and Assumption (A3),

$$\begin{aligned}\text{Var}(\tilde{\beta}_1 | X) &= (X_1^\top X_1)^{-1} X_1^\top \mathbb{E}[UU^\top | X] X_1 (X_1^\top X_1)^{-1} \\ &= \sigma^2 (X_1^\top X_1)^{-1}.\end{aligned}$$

Compare that to the variance of  $\hat{\beta}_1$ , the LS estimator of  $\beta_1$  from the regression that includes both  $X_1$  and  $X_2$ :

$$\text{Var}(\hat{\beta}_1 | X) = \sigma^2 (X_1^\top M_2 X_1)^{-1},$$

where  $M_2 = I_n - P_2$ , and  $P_2 = X_2 (X_2^\top X_2)^{-1} X_2^\top$ . Consider first the difference

$$\begin{aligned}X_1^\top X_1 - X_1^\top M_2 X_1 &= X_1^\top P_2 X_1 \\ &\geq 0.\end{aligned}$$

The inequality follows because  $P_2$  is symmetric and idempotent and therefore positive semi-definite. Consequently,

$$(X_1^\top X_1)^{-1} - (X_1^\top M_2 X_1)^{-1} \leq 0,$$

and

$$\text{Var}(\tilde{\beta}_1 | X) - \text{Var}(\hat{\beta}_1 | X) \leq 0.$$

Thus, the variance increases with the number of regressors.

Under Assumption (A5), we obtain that

$$\tilde{\beta}_1 | X \sim N\left(\beta_1 + (X_1^\top X_1)^{-1} X_1^\top X_2 \beta_2, \sigma^2 (X_1^\top X_1)^{-1}\right).$$

Next, we study the effect of misspecification on  $s^2$ , the estimator of  $\sigma^2$ . In this case,

$$s^2 = \frac{Y^\top M_1 Y}{n - k_1},$$

where  $k_1$  is the number of columns in  $X_1$ , and  $M_1 = I_n - X_1 (X_1^\top X_1)^{-1} X_1^\top$ . Since the true model is (1),

$$s^2 = \frac{(X_1 \beta_1 + X_2 \beta_2 + U)^\top M_1 (X_1 \beta_1 + X_2 \beta_2 + U)}{n - k_1},$$

and

$$\begin{aligned}
\mathbb{E} [s^2 | X] &= \mathbb{E} \left[ \frac{U^\top M_1 U}{n - k_1} | X \right] + 2 \mathbb{E} \left[ \frac{U^\top M_1 X_2 \beta_2}{n - k_1} | X \right] + \frac{\beta_2^\top X_2^\top M_1 X_2 \beta_2}{n - k_1} \\
&= \sigma^2 + \frac{\beta_2^\top X_2^\top M_1 X_2 \beta_2}{n - k_1} \\
&\geq \sigma^2.
\end{aligned}$$

The bias remains, even if  $X_1$  and  $X_2$  are orthogonal, since in this case  $M_1 X_2 = X_2$ .

One of the consequences of exclusion of relevant variables is that tests and confidence intervals are invalid.

## Inclusion of irrelevant variables

Suppose that the true model is given by

$$Y = X_1 \beta_1 + U,$$

however, the econometrician includes  $X_2$  as well, and estimates  $\beta_1$  by

$$\tilde{\beta}_1 = (X_1^\top M_2 X_1)^{-1} X_1^\top M_2 Y.$$

In this case, the LS estimator is unbiased under Assumption (A2):

$$\begin{aligned}
\mathbb{E} [\tilde{\beta}_1 | X] &= \mathbb{E} \left[ (X_1^\top M_2 X_1)^{-1} X_1^\top M_2 (X_1 \beta_1 + U) | X \right] \\
&= \beta_1 + (X_1^\top M_2 X_1)^{-1} X_1^\top M_2 \mathbb{E} [U | X] \\
&= \beta_1.
\end{aligned}$$

Under Assumption (A3), its variance is given by the usual formula

$$\text{Var} (\tilde{\beta}_1 | X) = \sigma^2 (X_1^\top M_2 X_1)^{-1}.$$

However,  $\tilde{\beta}_1$  is inefficient, due to the Gauss-Markov Theorem. As we have seen in the previous section, the variance increases with the number of regressors. Under Assumption (A5), we have

$$\tilde{\beta}_1 | X \sim N \left( \beta_1, \sigma^2 (X_1^\top M_2 X_1)^{-1} \right).$$

Next, consider  $s^2$ . In this case,

$$s^2 = \frac{Y^\top M_X Y}{n - k_1 - k_2},$$

where  $M_X = I_n - X (X^\top X)^{-1} X^\top$ . Since  $M_X X_1 = 0$ , it follows that

$$s^2 = \frac{U^\top M_X U}{n - k_1 - k_2},$$

and

$$\mathbb{E} [s^2 | X] = \sigma^2.$$

Naturally, the usual tests and confidence intervals remain valid in the case of inclusion of irrelevant variables. However, the confidence regions for  $\beta_1$  will be larger and tests less powerful compared to the correctly specified equation. The discussion in the last two sections suggests that for model selection purposes, one should start with the most general model, and eliminate irrelevant regressors by applying  $F$ -tests.

## Test of structural change

Suppose that there are two regression models representing, for example, observations in two countries or in two different time periods:

$$\begin{aligned} Y_1 &= X_1\beta_1 + U_1, \\ Y_2 &= X_2\beta_2 + U_2, \end{aligned}$$

where  $X_1$  is  $n_1 \times k$ ,  $X_2$  is  $n_2 \times k$ , and  $n_1 + n_2 = n$ . In this case,  $(Y_1, X_1)$  and  $(Y_2, X_2)$  are composed of observations for the same dependent variable and regressors for *two different sub-samples*. One can ask whether the response of the dependent variable to changes in the regressor differs in the two sub-samples by testing

$$H_0 : \beta_1 = \beta_2. \quad (3)$$

In order to combine two equations into a single equation, it is convenient to define

$$\begin{aligned} Y &= \begin{pmatrix} Y_1 \\ Y_2 \end{pmatrix}, \\ U &= \begin{pmatrix} U_1 \\ U_2 \end{pmatrix}, \\ X &= \begin{pmatrix} X_1 & 0 \\ 0 & X_2 \end{pmatrix}, \\ \beta &= \begin{pmatrix} \beta_1 \\ \beta_2 \end{pmatrix}. \end{aligned}$$

Using the above definitions, the unrestricted model can be written as

$$Y = X\beta + U, \quad (4)$$

which is a usual linear regression model. We assume that (4) satisfies Assumptions (A1)-(A5). In this framework, the restrictions given in (3) can be written as

$$R\beta = \begin{pmatrix} I_k & -I_k \end{pmatrix} \begin{pmatrix} \beta_1 \\ \beta_2 \end{pmatrix} = 0.$$

In this case,

$$\begin{aligned} (X^\top X)^{-1} &= \begin{pmatrix} X_1^\top X_1 & 0 \\ 0 & X_2^\top X_2 \end{pmatrix}^{-1} \\ &= \begin{pmatrix} (X_1^\top X_1)^{-1} & 0 \\ 0 & (X_2^\top X_2)^{-1} \end{pmatrix}. \end{aligned}$$

Consequently,

$$\begin{aligned} M_X &= I_n - \begin{pmatrix} X_1 & 0 \\ 0 & X_2 \end{pmatrix} \begin{pmatrix} (X_1^\top X_1)^{-1} & 0 \\ 0 & (X_2^\top X_2)^{-1} \end{pmatrix} \begin{pmatrix} X_1^\top & 0 \\ 0 & X_2^\top \end{pmatrix} \\ &= I_n - \begin{pmatrix} X_1 (X_1^\top X_1)^{-1} X_1^\top & 0 \\ 0 & X_2 (X_2^\top X_2)^{-1} X_2^\top \end{pmatrix} \\ &= \begin{pmatrix} I_{n_1} - X_1 (X_1^\top X_1)^{-1} X_1^\top & 0 \\ 0 & I_{n_2} - X_2 (X_2^\top X_2)^{-1} X_2^\top \end{pmatrix} \\ &= \begin{pmatrix} M_1 & 0 \\ 0 & M_2 \end{pmatrix}. \end{aligned}$$

Now, the unrestricted  $RSS$  is given by the sum of  $RSS$ 's from two separate regressions:

$$\begin{aligned}\widehat{U}^\top \widehat{U} &= Y^\top M_X Y \\ &= \begin{pmatrix} Y_1 \\ Y_2 \end{pmatrix}^\top \begin{pmatrix} M_1 & 0 \\ 0 & M_2 \end{pmatrix} \begin{pmatrix} Y_1 \\ Y_2 \end{pmatrix} \\ &= Y_1^\top M_1 Y_1 + Y_2^\top M_2 Y_2 \\ &= RSS_1 + RSS_2.\end{aligned}$$

There are  $2k$  regression slope coefficients in the unrestricted model.

Next, the restricted model can be written as

$$\begin{pmatrix} Y_1 \\ Y_2 \end{pmatrix} = \begin{pmatrix} X_1 \\ X_2 \end{pmatrix} \beta_1 + \begin{pmatrix} U_1 \\ U_2 \end{pmatrix}. \quad (5)$$

Therefore, the restricted  $RSS$  must be obtained by pooling together the two sub-samples. Define

$$X_r = \begin{pmatrix} X_1 \\ X_2 \end{pmatrix},$$

and

$$M_r = I_n - X_r (X_r^\top X_r)^{-1} X_r^\top.$$

The restricted  $RSS$  is given by

$$RSS_r = Y^\top M_r Y.$$

Therefore, the test of no structural change is based on the following statistic:

$$F = \frac{(RSS_r - RSS_1 - RSS_2) / k}{(RSS_1 + RSS_2) / (n - 2k)}.$$

One rejects the null of no structural change when

$$F > F_{k, n-2k, 1-\alpha}.$$

## Dummy variables

Frequently in regression analysis, the econometrician is interested in the effect of the variables that are qualitative and cannot be quantified in a usual way. For example, one may be interested in studying the effects of sex, marital status, race, and religion on other economic variables such as income or education. A common approach to quantifying such variables is to introduce artificial variables that indicate if a particular quality is present. Suppose that a qualitative variable has  $m$  categories. For observations  $i = 1, \dots, n$ , define the *dummy variables*  $d_{ij}$ ,  $j = 1, \dots, m$  such that

$$d_{ij} = \begin{cases} 1, & \text{if observation } i \text{ belongs to the category } j, \\ 0, & \text{otherwise.} \end{cases}$$

For example, let  $Y_i$  be the salary of individual  $i$ , and

$$\begin{aligned}d_{i1} &= \begin{cases} 1, & \text{if male,} \\ 0, & \text{if female,} \end{cases} \\ d_{i2} &= \begin{cases} 1, & \text{if female,} \\ 0, & \text{if male.} \end{cases}\end{aligned}$$

Consider the regression

$$Y_i = \alpha_1 d_{i1} + \alpha_2 d_{i2} + X_i^\top \beta + U_i,$$

where  $X_i$  is the vector of other regressors such as years of schooling, experience, etc. In this case,  $\alpha_1$  and  $\alpha_2$  give the starting salary for men and women, respectively. Alternatively, one may consider the following specification:

$$Y_i = \alpha_0 + \alpha_1 d_{i1} + X_i^\top \beta + U_i.$$

In this case, the starting salary for women is  $\alpha_0$ , and the starting salary for men is  $\alpha_0 + \alpha_1$ . The coefficient  $\alpha_1$  gives the difference in starting salaries between male and female workers. One can test whether their starting salaries differ by testing the hypothesis  $\alpha_1 = 0$ .

In the above example, one cannot include the intercept and both dummy variables, since for all  $i$ 's

$$d_{i1} + d_{i2} = 1,$$

which violates Assumption (A4). The general rule is that if a categorical variable has  $m$  categories, include  $m$  dummies and no intercept, or  $m - 1$  variables with an intercept.

One may also allow for the effect of other regressors  $X_i$  to be different across categories. In the above example, this can be modelled by including the *interaction term* of  $X_i$  with the dummy variable  $d_{i1}$ :

$$Y_i = \alpha_0 + \alpha_1 d_{i1} + X_i^\top \beta + (d_{i1} X_i)^\top \delta + U_i.$$

Now the marginal effect of  $X_i$  is  $\beta$  for women and  $\beta + \delta$  for men. One can test whether the model is different for men and women by testing  $H_0 : \alpha_1 = 0, \delta = 0$ .

Consider the test for structural change discussed in the previous section. Define

$$d_i = \begin{cases} 0 & \text{for } i = 1, \dots, n_1, \\ 1 & \text{for } i = n_1 + 1, \dots, n, \end{cases}$$

One can write the model for  $i = 1, \dots, n$  as

$$Y_i = X_i^\top \beta_1 + (d_i X_i)^\top \delta + U_i,$$

or equivalently,

$$\begin{pmatrix} Y_1 \\ Y_2 \end{pmatrix} = \begin{pmatrix} X_1 \\ X_2 \end{pmatrix} \beta_1 + \begin{pmatrix} 0 \\ X_2 \end{pmatrix} \delta + \begin{pmatrix} U_1 \\ U_2 \end{pmatrix}. \quad (6)$$

In this case,  $\beta_2 = \beta_1 + \delta$ , and the test of no structural change is equivalent to testing  $H_0 : \delta = 0$ . In order to show that the two approaches, with and without dummy variables, are equivalent, it is sufficient to show that the matrix of regressors in (4),

$$\begin{pmatrix} X_1 & 0 \\ 0 & X_2 \end{pmatrix},$$

spans the same linear space as that in (6):

$$\begin{pmatrix} X_1 & 0 \\ X_2 & X_2 \end{pmatrix}.$$

## Forecasts

Consider again the classical normal linear regression model defined by Assumptions (A1)-(A5):

$$Y_i = X_i^\top \beta + U_i.$$

In this section, we discuss *forecasting* the dependent variable  $Y_i$  given some *fixed*  $k$ -vector of values for the regressors  $x_f$ , and the construction of confidence intervals for such forecasts. Let  $\hat{\beta}$  be the LS estimator of  $\beta$  based on the data  $\{(Y_i, X_i) : i = 1, \dots, n\}$ . Note that  $x_f$  may or may not be one of the realized values for the regressors in the observed sample. Since

$$E[Y_i | X_i = x_f] = x_f^\top \beta,$$

it is natural to estimate the conditional expectation of the dependent variable,  $E[Y_i | X_i = x_f]$ , by

$$\hat{Y}_f = x_f^\top \hat{\beta}. \quad (7)$$

Here  $\hat{Y}_f$  is the predicted value of a point *on the regression line*. Since  $x_f$  is fixed,  $\hat{Y}_f$  is random only due to the randomness in  $\hat{\beta}$ . Using the results for  $\hat{\beta}$ , we obtain

$$\hat{Y}_f | X \sim N \left( x_f^\top \beta, \sigma^2 x_f^\top (X^\top X)^{-1} x_f \right).$$

The  $\alpha$ -level confidence interval for the point on the regression line that corresponds to  $x_f$  is given by

$$x_f^\top \hat{\beta} \pm t_{n-k, 1-\alpha/2} \sqrt{s^2 x_f^\top (X^\top X)^{-1} x_f}.$$

Next, consider predicting a point *off the regression line*. Define

$$Y_f = x_f^\top \beta + U_f,$$

where the  $(n+1)$ -vector  $(U^\top, U_f)^\top$  satisfies

$$\begin{pmatrix} U \\ U_f \end{pmatrix} | X \sim N(0, \sigma^2 I_{n+1}). \quad (8)$$

Since  $U_f$  is not predictable from  $X$ , the predicted value of  $Y_f$  is given by (7). Next, the *forecasting error* is given by

$$\begin{aligned} \hat{U}_f &= Y_f - x_f^\top \hat{\beta} \\ &= U_f - x_f^\top (\hat{\beta} - \beta). \end{aligned}$$

The result in (8) implies that

$$\hat{U}_f | X \sim N \left( 0, \sigma^2 + \sigma^2 x_f^\top (X^\top X)^{-1} x_f \right).$$

Therefore, the  $\alpha$ -level confidence interval for the predicted value of  $Y_f$  is given by

$$x_f^\top \hat{\beta} \pm t_{n-k, 1-\alpha/2} \sqrt{s^2 \left( 1 + x_f^\top (X^\top X)^{-1} x_f \right)}.$$